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Secure Distribution Venture Pvt. Ltd.

WHAT IS SUPPLY CHAIN BILL DISCOUNTING?

A Comprehensive Textbook & Reference Manual on Bill and Trade Receivable Discounting in India

Developed by www.loanbazaaronline.com

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Chapter 1: Product Overview & Historical Evolution of Bill Discounting

The Essence of Supply Chain Bill Discounting

Supply Chain Bill Discounting (SCBD) is an advanced, transaction-backed, and revolving trade finance facility designed to resolve the systemic liquidity mismatches that occur between buyers and sellers within commercial supply chains. Under standard B2B transaction terms, sellers (often micro, small, and medium enterprises, or MSMEs) raise sales invoices upon delivering raw materials or components to large corporate buyers (the Anchor). These corporate buyers typically operate on credit terms spanning 30, 60, or 90 days, which locks up the supplier's working capital. SCBD acts as a powerful bridge: it allows the supplier to discount approved trade bills or invoices with a commercial bank or Non-Banking Financial Company (NBFC) at a highly competitive interest rate, receiving immediate cash flow while the corporate buyer secures credit extensions and settles directly with the lender on maturity.

Historical Context and the Evolution of the Indian Bill Market

The practice of bill discounting has ancient and deep roots in the Indian financial system. Historically, domestic trade credit was dominated by 'Hundis'—traditional, non-standardized negotiable instruments and bills of exchange operating on trust networks and community-based lending. To formalize and systematize trade credit, the Reserve Bank of India (RBI) introduced the Bill Market Scheme of 1952 and the subsequent Credit Authorization Scheme of 1965. These schemes represented the formal banking sector's first organized attempts to channel trade-backed credit directly into commercial credit bills.

Despite these initiatives, paper-based bill discounting remained slow, fragmented, and vulnerable to dual-financing fraud due to manual tracking and slow physically-presented bills of exchange. Recognizing these structural bottlenecks, the RBI appointed the Shri C.S. Kalyan Sundaram Committee in 1988 to recommend the development of an organized, institutional-grade factoring and bill market. The Sundaram Committee's seminal findings formed the foundation of structured bill finance in India, establishing that automated, digitized trade-backed credit was critical to reducing MSME default risks, increasing transaction velocity, and bringing unbanked vendors into the formal commercial credit ecosystem.

The Digital Transformation: Transitioning to e-Bill Schemes

In the early 2000s, the Indian banking sector underwent a monumental digital shift. Pioneered by the State Bank of India (SBI) with the launch of its pathbreaking Electronic Dealer Financing Scheme (e-DFS) and Electronic Vendor Financing Scheme (e-VFS), trade credit was transitioned from physical, paper-heavy bill discounting to real-time internet-based platforms. These secure digital pipelines integrated the lender's loan portals directly with the ERP systems of large corporate manufacturers. Upon the electronic upload and confirmation of a sales invoice, the system calculated the supplier's available Drawing Power (DP), disbursed cash instantly, and routed repayments automatically on maturity. This digital automation slashed transaction turnaround time (TAT) from over 15 days to under 24 hours, structurally establishing modern digital-first Supply Chain Bill Discounting.

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Chapter 2: Structural Modalities: SCBD vs. Factoring & Trade Credit

Differentiating the Product Modalities

A common point of confusion for finance rookies is distinguishing between Supply Chain Bill Discounting (SCBD), traditional Invoice Factoring, and standalone Trade Credit. While all three are working capital instruments, they are fundamentally distinct in their operational structures, legal ownership, pricing, risk profiles, and balance sheet impacts. In the B2B supply chain, SCBD is primarily 'Anchor-led' and revolves around tripartite covenants. In contrast, traditional factoring can be completely independent of the buyer's involvement and is often structured with recourse or non-recourse to the seller. Trade credit is an informal bilateral deferred payment agreement carrying zero third-party financier involvement.

Comparative Taxonomy Matrix

Parameters	Supply Chain Bill Discounting	Invoice Factoring	Standalone Trade Credit
Initiator / Driver	Anchor-Led (tripartite program initiated by AAA Corporate Anchor)	Seller-Led (MSME seller discounts invoices on their own credit limit)	Bilateral Agreement (informal deferred payment negotiated between buyer and seller)
Primary Credit Risk	AAA/AA+ Corporate Anchor (balance sheet arbitrage)	MSME Seller (recourse) or Anchor (non-recourse)	Direct Credit Default of Buyer
Borrowing Cost (p.a.)	Highly Competitive (7.5% - 10.5% p.a. based on Anchor's rating)	Standard / High (12.0% - 18.0% p.a. based on MSME's profile)	Zero (built into higher purchase price/interest fees)
Assignment Notification	Mandatory (Anchor signs Tripartite and waives disputes)	Optional (disclosed or undisclosed/confidential factoring)	None (standard trade terms)
Balance Sheet Impact	Stays Trade Payables if payment terms are not extended beyond market	Off-balance sheet if structured as non-recourse factoring	Classified strictly as standard trade payables on the balance sheet
CERSAI Registration	Mandatory within 10 days of trade receivable assignment	Mandatory within 10 days under Factoring Act, 2011	Not Applicable (no financier involved)
Recourse Framework	With Recourse to supplier or Non-Recourse (based on Anchor risk profile)	With Recourse (most common in India) or Non-Recourse	Not Applicable (direct trade risk)

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Chapter 3: The Transaction Lifecycle & Tripartite ERP Workflows

The Tripartite Integration Architecture

The operational engine of Supply Chain Bill Discounting relies on a highly synchronized, tripartite relationship between three distinct economic entities: the Supplier (MSME seller), the Anchor (investment-grade corporate buyer), and the Financier (Bank/NBFC). This relationship is operationalized through a seamless real-time data exchange. Modern fintech players and commercial banks integrate their proprietary supply chain portals directly with the Anchor's enterprise resource planning (ERP) platforms (such as SAP, Oracle, or Microsoft Dynamics) using secure Application Programming Interfaces (APIs). When a supplier raises an invoice and submits it to the Anchor, the ERP automatically matching it against Purchase Orders (PO) and Goods Receipt Notes (GRN), triggering a real-time financing invitation to the lender's server.

The Standard 5-Step SCBD Transaction Flow

Stage	Participant Action	Behind-the-Scenes System & API Activity
1. Limit Setup	Financier establishes a revolving SCBD limit for the MSME Supplier.	Financier conducts a real-time assessment of the Corporate Anchor's credit score and signs the Tripartite Agreement.
2. Purchase Order	Anchor issues a Purchase Order (PO) to the Supplier.	Supplier manufactures and delivers the precision components to the Anchor's factory.
3. Invoice Approved	Supplier uploads the sales invoice directly to the Anchor's ERP system.	The Anchor's system matches the invoice against PO/GRN and issues an approved e-bill notification via secure APIs.
4. Discounting Payout	Supplier elects to discount the bill on the financier's SCBD digital platform.	Financier's system auto-computes the advanced principal (90%), deducts interest, and disburses the net payout on Day 1.
5. Maturity Sweep	Corporate Anchor pays the financier the full invoice value on maturity (Day 60/90).	The financier sweeps the advanced principal from the locked escrow account and releases the 10% margin back to the supplier.

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Chapter 4: Credit Underwriting Standards & Vendor/Buyer Eligibility

The Credit Underwriting Shift: Balance Sheet vs. Transactional Analytics

In traditional commercial lending, banks evaluate borrowers based on asset-heavy collateral, historical balance sheet ratios, and Debt-Service Coverage Ratios (DSCR). If a small-scale MSME supplier applies for a cash credit line, they must provide commercial real estate collateral and satisfy strict leverage filters. Supply Chain Bill Discounting completely flips this paradigm. By shifting the primary credit risk from the small-scale supplier to the investment-grade corporate Anchor, financiers perform 'balance sheet arbitrage.'

Lenders focus their underwriting analytics on the Anchor's balance sheet (AAA or AA+ rated public/private enterprises), cash flows, and overall payment track record. The supplier's balance sheet is secondary; they are underwritten based on their relationship vintage, commercial performance stability, transaction frequency, invoice dilution rates, and low historical product chargebacks. This transaction-backed approach unlocks cheap, uncollateralized capital for MSMEs that would otherwise fail traditional credit filters.

Common Credit Eligibility Criteria for SCBD Programs

To establish an institutional-grade SCBD program, lenders apply distinct eligibility criteria on both the Corporate Anchor and the participating vendors:

- **1. Corporate Anchor Profile:** Lenders typically require the Anchor to be a listed or high-turnover private limited company with an annual revenue exceeding ₹250 Crores, a minimum investment-grade credit rating of A+ (with AAA/AA highly preferred) from SEBI-registered rating agencies (such as CARE Ratings or CRISIL), and a stable, multi-year history of profitable operations.

- **2. Supplier/Vendor Profile:** Lenders look for active MSMEs with an active relationship vintage with the Anchor for at least 2 to 3 years, a satisfactory credit score (personal credit score > 700 and CIBIL MSME Rank or CMR rating between 1 and 4), verified GST registration (active GSTR-1 and GSTR-3B filings), and stable transaction volumes with a stock-to-sales inventory turnaround cycle of under 90 days.

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Chapter 5: Legal Framework, Security & Documentation Requirements

The Assignment of Actionable Claims and Key Statutory Pillars

The legal enforceability of Supply Chain Bill Discounting is anchored in two primary statutory pillars: the Transfer of Property Act, 1882 and the Factoring Regulation Act, 2011 (with 2021 Amendments). Under Section 130 of the Transfer of Property Act, 1882, the transfer of trade receivables is classified as the legal assignment of an 'Actionable Claim.' This assignment contractually transfers the right to receive payment from the buyer directly from the seller to the financier.

The Factoring Regulation Act, 2011 provides a comprehensive regulatory framework for factoring and trade bill discounting, establishing clear registration guidelines for financial institutions. The Factoring Regulation (Amendment) Bill of 2021 was a massive regulatory catalyst: it widened the eligible lender pool by allowing all registered Non-Banking Financial Companies (NBFCs) to participate in factoring transactions, whereas previously only specialized NBFC-Factors (where factoring constituted 50% of assets and income) were permitted. This amendment dramatically expanded system-wide MSME credit liquidity.

Essential Security and Document Requirements

To secure the facility, lenders require a structured suite of legal documents:

- **1. Master Supply Chain Bill Discounting Agreement:** Outlines the credit limit, interest, and repayment terms.
- **2. Tripartite Agreement (Anchor, Vendor, Financier):** Binds the Corporate Anchor to pay the lender directly on maturity and contains a critical 'Non-Dispute Covenant' where the Anchor waives all rights to withhold payment due to product disputes once an invoice is approved.
- **3. Legal Escrow Account & NACH Mandates:** Standardized automated collection mandates (e.g., e-NACH) linked to a locked escrow account where all buyer disbursements are collected.
- **4. Personal & Corporate Guarantees:** Unconditional personal guarantees from the promoter to pierce the corporate veil in cases of deliberate transaction-backed fraud.

Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem

Scale of Supply Chain Portfolios in Indian Banking

The supply chain credit market in India has witnessed massive structural growth. According to credit bureau snapshots (CRIF High Mark Q3 FY26), the total Consumer Durable and downstream supply chain portfolio outstanding grew 14.3% YoY, reaching ₹96.3K Crore. In this massive market, the State Bank of India (SBI) maintains an undisputed industry-leading position. As documented in its annual reports, SBI holds an

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absolute market leadership position in supply chain financing, boasting an active e-DFS (Electronic Dealer Financing Scheme) portfolio of over ₹49,261 Crore and an active e-VFS (Electronic Vendor Financing Scheme) portfolio of over ₹28,092 Crore. These numbers validate the immense institutional scale of transaction-backed credit pipelines in the Indian retail banking sector.

Axis Bank's Empirical Performance Benchmarks

Empirical studies on automated supply chain practices at private-sector giants like Axis Bank provide valuable operational benchmarks. Axis Bank's structured digital programs demonstrate an average program utilization rate of 65% across its active vendor base. By replacing manual credit underwriting with automated API integrations, the bank achieves an early payment turnaround time (TAT) of 24 to 48 hours. Further, corporate anchor-led programs have driven an average 1.8% to 2.5% reduction in overall borrowing costs for small-scale suppliers compared to traditional bank cash credit lines, alongside a 96% system invoice processing accuracy rate. These statistics highlight the remarkable efficiency gains of structured digital supply chain bill discounting.

Suitable Industries and Corporate Profiles

SCBD is highly suited for high-growth, organized industrial segments with extensive vendor ecosystems:

- **1. Automotive Manufacturing:** Automobile majors (like JSW One or primary vehicle OEMs) work with hundreds of MSME suppliers providing precision components. SCBD ensures continuous parts supply without stalling.
- **2. Consumer Durables & Electronics:** High seasonal peaks (such as Festive season demand) require distributors to aggressively lift stock. Rapid automated bill discounting bridges these working capital peaks.
- **3. Steel & Building Materials:** Large steel conglomerates utilize SCBD to finance raw iron ore and coke shipments, maintaining a continuous raw material pipeline.
- **4. FMCG:** High-velocity distributors require short-term, revolving, unsecured credit lines (15-45 days usance) to maintain store-level stock cycles with high turnaround.
-

Chapter 7: Commercial Mechanics, Pricing & Unit Economics

The Pricing Components of a Revolving SCBD Line

A revolving SCBD credit limit is commercialized through a transparent pricing grid. The primary cost components include:

- **1. Financing Interest Rate (7.5% - 10.5% p.a.):** Floating interest rates linked directly to the bank's external benchmark lending rate (EBLR) or the lender's Marginal Cost of Funds-based Lending Rate

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(MCLR). Interest is charged strictly on a reducing-balance basis on the exact advanced principal and usance tenure.

- **2. Processing Fee (0.1% - 0.5% p.a.):** An annual service charge applied on the sanctioned limit, subject to GST at 18% in India.

- **3. Overdue Interest (Penal Rate of 18% - 24% p.a.):** Applied strictly as a penalty on outstanding balances exceeding the designated usance tenure.

The Mathematics of Early Cash Discounts (Credit Arbitrage)

A critical commercial justification for small-scale suppliers utilizing SCBD is the early payment cash discount offered by raw material manufacturers or corporate anchors. In B2B commerce, manufacturers often offer cash discounts (e.g., 1.5% to 3.0% on the invoice value) if the buyer settles the invoice immediately within 2 to 5 days. By utilizing a low-cost, bank-financed SCBD line (costing 8.5% p.a., which translates to a mere 1.4% for a 60-day usance tenure), the supplier can pay their raw material suppliers instantly and secure the cash discount.

This creates a highly lucrative, high-yielding credit arbitrage for the supplier: the financial gain from the upfront discount comfortably exceeds the interest cost of the bank revolving line, yielding positive net cash flows while securing inventory with zero real estate collateral.

Chapter 8: Taxation, GST, and Accounting Treatment (Ind AS)

GST and TDS Applicability on Trade Bill Discounting

To avoid tax compliance failures, corporate finance teams must understand the strict GST and TDS guidelines applicable to Supply Chain Bill Discounting:

- **1. GST Applicability:** Under the CGST Act, 2017, the discounting charge (interest) or subvention fee is classified as an exchange of money and is explicitly exempt from GST. However, any associated

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processing fees, administrative charges, or credit assessment fees are fully taxable at the standard GST rate of 18% in India.

- **2. TDS Under Section 194A:** Under the Income Tax Act, 1961, any corporate buyer or vendor making interest payments to a bank is exempt from TDS. However, if the financier is a Non-Banking Financial Company (NBFC), the payer must withhold Tax Deducted at Source (TDS) under Section 194A at the rate of 10% on the interest component. This withheld tax must be deposited with the Income Tax Department, and a quarterly Form 16A TDS certificate must be downloaded directly from the TRACES portal and shared with the lender to allow tax reconciliation.

The Ind AS 109 and Classification Dilemma: Trade Payables vs. Borrowings

Under Indian Accounting Standards (Ind AS 109), corporate anchors must perform a rigorous risk-and-reward evaluation to determine the balance sheet classification of their supply chain payables. If the anchor re-negotiates its payment terms with the financier, extending the credit period significantly beyond standard trade credit or introducing third-party guarantees, the obligation must be reclassified from 'Trade Payables' to 'Bank Borrowings.' This reclassification dramatically increases the corporate's reported leverage ratios, which can trigger debt covenants and negatively affect credit ratings.

Mandated Disclosure Requirements Under Ind AS 7 and Ind AS 107

To ensure financial transparency, the Ministry of Corporate Affairs (MCA) aligned Indian accounting rules with international standards, implementing amendments to Ind AS 7 (Statement of Cash Flows) and Ind AS 107 (Financial Instruments), effective for financial years commencing on or after April 1, 2024. Under these amendments, corporates utilizing reverse factoring or supplier financing arrangements must explicitly disclose:

- 1. The terms and conditions of each supply chain finance program.
- 2. The carrying amount of financial liabilities that are part of the program, detailing the portion for which the financiers have already settled the supplier invoices.
- 3. The range of payment due dates for liabilities owed to suppliers under the program compared to standard trade credit terms of non-participating suppliers.

Chapter 9: Real-World Case Study (No-Cost vs. Interest-Bearing SCBD)

The Commercial Scenario

To bridge the gap between financial theory and commercial operations, we analyze a comprehensive, real-world case study of a manufacturing trade loop in Pune, India.

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Vibrant Auto Components Pvt. Ltd. (a Pune-based MSME component manufacturer) raises a sales invoice of ₹50,00,000 for a consignment of precision engine valves delivered to its Corporate Anchor, Apex Automobiles India Ltd. (a AAA-rated automotive giant). Apex Automobiles approves the invoice on its ERP portal, confirming delivery. The invoice carries a credit usance period of 60 days. To unlock immediate working capital, Vibrant Component wishes to discount this approved invoice with a partner bank on a Supply Chain Bill Discounting line.

Underlying Financial Parameters

- • **Invoice Value:** ₹50,00,000 (₹50 Lakhs, inclusive of GST)
- • **Standard Interest Rate:** 8.5% p.a. simple interest (reducing balance equivalent, calculated on a 365-day year)
- • **Usance Tenure:** 60 Days
- • **Bank Advanced Principal (90%):** ₹45,00,000 (the remaining 10% or ₹5,00,000 is held as a margin reserve)
- • **Upfront Processing Fee:** 0.1% on the advanced principal (plus GST at 18% in India)
- • **Anchor Early Payment Cash Discount:** 1.5% discount on the total invoice value if the bank settles on Day 1
- • **Alternative Program (Scenario B):** Anchor Zenith Tech subvents 100% of interest for the first 30 days.

Mathematical Walkthrough & Arbitrage Calculations

Scenario A: Standard Interest-Bearing Route with Early Cash Discount

Under Scenario A, Apex Automobiles provides a 1.5% cash discount on the ₹50 Lakh invoice on Day 1 because the bank disburses funds instantly on behalf of the buyer.

Step 1: Calculate the Discounted Invoice Value

Discount = ₹50,00,000 × 1.5% = ₹75,000

Discounted Invoice Value = ₹50,00,000 - ₹75,000 = ₹49,25,000

Step 2: Calculate the Bank Advanced Loan Principal (90%)

Advanced Principal = ₹49,25,000 × 90% = ₹44,32,500

Margin Reserve Held (10%) = ₹4,92,500

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Step 3: Calculate the Upfront Processing Fee & GST

Processing Fee = ₹44,32,500 × 0.1% = ₹4,432.50

GST on Fee (18%) = ₹4,432.50 × 18% = ₹797.85

Total Bank Fees = ₹4,432.50 + ₹797.85 = ₹5,230

Step 4: Calculate the Deducted Simple Interest (60-Day Tenure)

Interest = Principal × Rate × (Tenure / 365)

Interest = ₹44,32,500 × 8.5% × (60 / 365) = ₹61,936

Step 5: Calculate the Net Upfront Disbursal on Day 1

Net Disbursal = Advanced Principal - Interest - Bank Fees

Net Disbursal = ₹44,32,500 - ₹61,936 - ₹5,230 = ₹43,65,334

Step 6: Final Maturity Settlement (Day 60)

On Day 60, Apex Automobiles pays ₹49,25,000 to the bank. The bank sweeps the advanced principal of ₹44,32,500 to recover the loan, and releases the ₹4,92,500 margin reserve back to Vibrant Component's bank account.

Step 7: Credit Arbitrage Analysis

Total Financing Cost = Interest + Bank Fees = ₹61,936 + ₹5,230 = ₹67,166

Upfront Early Cash Discount Secured = ₹75,000

Net Financial Gain = Upfront Cash Discount - Total Financing Cost

Net Financial Gain = ₹75,000 - ₹67,166 = +₹7,834

By utilizing the bank-financed SCBD line, Vibrant Components secures ₹43.65 Lakhs of immediate cash flow with zero real estate collateral, while locking in a positive net financial gain of +₹7,834!

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Scenario B: Anchor-Subvented 30-Day Interest-Free Holiday

Under Scenario B, Apex Automobiles subvents (absorbs) 100% of the interest costs for the first 30 days to support its MSME vendor, and Vibrant Components is charged interest only for the remaining 30 days.

Step 1: Standard Invoice Valuation (No Early Discount)

Invoice Value = ₹50,00,000

Advanced Principal (90%) = ₹45,00,000

Margin Reserve Held (10%) = ₹5,00,000

Step 2: Calculate the Supplier-Borne Interest (Remaining 30 Days)

Interest = ₹45,00,000 × 8.5% × (30 / 365) = ₹31,438

Step 3: Calculate Bank Fees

Fees + GST = (₹45,00,000 × 0.1%) + 18% GST = ₹4,500 + ₹810 = ₹5,310

Step 4: Net Upfront Disbursal on Day 1

Net Disbursal = ₹45,00,000 - ₹31,438 - ₹5,310 = ₹44,63,252

Step 5: Final Day 60 Maturity Settlement

On Day 60, Apex Automobiles pays ₹50,00,000. Lenders sweep ₹45,00,000 to recover the loan and release the ₹5,00,000 margin reserve back to Vibrant Component's bank account.

Chapter 10: Practice Examination & Test Questions for Rookies

A Self-Evaluation Tool for Fintech Mastery

This chapter contains a rigorous, comprehensive practice examination consisting of multiple-choice, analytical, and scenario-based questions designed to evaluate a rookie's absolute understanding of Supply Chain Bill Discounting. Thorough rationales and answers are provided for each question.

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Question 1 (Multiple Choice)

Under Section 19 of the Factoring Regulation Act, 2011, what is the mandatory statutory timeline within which a financier must register every trade receivable assignment with the CERSAI registry?

A) Within 30 days of the transaction

B) Within 10 days of the transaction

C) Within 24 hours of the transaction

D) Within 45 days of the transaction

★ Rationale & Analysis:

Correct Option: B. Section 19 of the Factoring Regulation Act, 2011 mandates that all assignments of trade receivables must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within a strict statutory timeline of 10 days to prevent systemic dual-financing fraud.

Question 2 (Multiple Choice)

Which of the following bodies recommended the development of an organized factoring and trade bill market in India, establishing that automated trade credit was critical to reducing MSME credit risks?

A) The Shri C.S. Kalyan Sundaram Committee (1988)

B) The Urjit Patel Committee

C) The Nachiket Mor Committee

D) The Narasimham Committee (1991)

★ Rationale & Analysis:

Correct Option: A. The Shri C.S. Kalyan Sundaram Committee in 1988 recommended the development of structured factoring and supply chain programs, identifying paper-based collections as a major bottleneck restricting MSME sales velocity.

Question 3 (Multiple Choice)

How are interest payments treated under Tax Deducted at Source (TDS) guidelines when discounting bills with a Non-Banking Financial Company (NBFC) in India?

A) They are completely exempt from TDS under all conditions.

B) Payer must withhold TDS under Section 194A at the rate of 10% on the interest component.

C) Lenders must pay GST at 18% in lieu of TDS.

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D) A flat TDS of 2% is withheld under Section 194C.

★ Rationale & Analysis:

Correct Option: B. Under Section 194A of the Income Tax Act, 1961, while interest paid to commercial banks is exempt from TDS, interest paid to NBFCs is subject to a 10% withholding tax. The payer must generate a Form 16A quarterly certificate via the TRACES portal to allow the NBFC to claim tax credit.

Question 4 (Analytical Case Question)

A supplier discounts a ₹20,00,000 usance invoice raised on an approved Corporate Anchor. The financier offers a 90% advance at 9% p.a. simple interest on a 60-day usance. Calculate the exact interest component deducted by the financier on Day 1 (assume a 365-day year).

A) ₹29,589

B) ₹26,630

C) ₹14,795

D) ₹18,000

★ Rationale & Analysis:

Correct Option: B. First, calculate the Advanced Principal: Advanced Principal = ₹20,00,000 × 90% = ₹18,00,000. Second, calculate the deducted simple interest: Interest = Principal × Rate × (Tenure / 365) = ₹18,00,000 × 9% × (60 / 365) = ₹18,00,000 × 0.09 × 0.16438 = ₹26,630.13. Option B is correct.

Question 5 (Multiple Choice)

Under Indian Accounting Standards (Ind AS 109), what core covenant determines whether a corporate anchor can keep reverse factoring liabilities classified as 'Trade Payables' rather than 'Bank Borrowings'?

A) The presence of a personal guarantee from the supplier's promoter.

B) Whether the corporate anchor secures payment extensions significantly exceeding standard trade credit terms.

C) The payment of an 18% GST surcharge on the total transaction volume.

D) The registration of a CERSAI charge within 10 days of invoice upload.

★ Rationale & Analysis:

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Correct Option: B. If a corporate anchor re-negotiates terms with a bank to secure payment extensions significantly beyond standard market trade credit, the obligation loses its trade character and must be reclassified as Bank Borrowings under Ind AS 109, which increases the company's reported leverage ratios.

Question 6 (Multiple Choice)

Under the RBI's Digital Lending Directions, what is the maximum permissible limit for Default Loss Guarantee (DLG) arrangements between a Regulated Entity (RE) and a Lending Service Provider (LSP)?

A) Capped at 2% of the outstanding loan portfolio.

B) Capped at 5% of the outstanding loan portfolio.

C) Capped at 10% of the outstanding loan portfolio.

D) Capped at 15% of the outstanding loan portfolio.

★ Rationale & Analysis:

Correct Option: B. To prevent unregulated fintech platforms from acting as synthetic shadow lenders without capital adequacy backup, the RBI strictly caps DLG risk-sharing arrangements at 5% of the outstanding portfolio value.

Question 7 (Multiple Choice)

Under the Transfer of Property Act, 1882, which section governs the legal assignment of trade receivables and actionable claims to a financier?

A) Section 138

B) Section 130

C) Section 43B

D) Section 194A

★ Rationale & Analysis:

Correct Option: B. Section 130 of the Transfer of Property Act, 1882 governs the legal assignment of 'Actionable Claims,' contractually transferring the right to collect receivables from the seller to the financier.

Question 8 (Multiple Choice)

According to public banking disclosures, which public sector bank holds the largest Electronic Dealer Financing Scheme (e-DFS) and e-VFS supply chain portfolios in India, with an e-DFS balance exceeding ₹49,261 Crore?

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A) ICICI Bank

B) HDFC Bank

C) State Bank of India (SBI)

D) Punjab National Bank (PNB)

★ Rationale & Analysis:

Correct Option: C. The State Bank of India (SBI) holds an undisputed industry leadership position, boasting an active e-DFS portfolio of over ₹49,261 Crore and an active e-VFS portfolio of over ₹28,092 Crore as documented in its annual reports.

Question 9 (Multiple Choice)

Under the RBI's collection and debt recovery guidelines, during what specific hours are collection agents legally permitted to contact or visit a defaulting borrower?

A) 24 hours a day, provided the borrower is in active default.

B) Between 9:00 AM and 5:00 PM on working days only.

C) Between 8:00 AM and 7:00 PM on any day.

D) Between 6:00 AM and 10:00 PM on any day.

★ Rationale & Analysis:

Correct Option: C. To prevent predatory harassment, the RBI Fair Practice Code strictly restricts recovery agents from contacting or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM on any day.

Question 10 (Multiple Choice)

Under the RBI's Digital Lending Directions, which of the following is true regarding Digital Lending Apps (DLAs) accessing a borrower's mobile phone resources?

A) DLAs have unlimited, continuous access to contact lists and files if the borrower defaults.

B) DLAs are strictly prohibited from accessing sensitive mobile resources, including contact lists, files, and call logs.

C) DLAs can access the phone contacts only if the promoter has signed a personal guarantee.

D) DLAs can access files and media as long as the data is stored on a server located outside India.

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★ Rationale & Analysis:

Correct Option: B. The RBI Digital Lending Directions strictly prohibit DLAs from accessing sensitive mobile phone resources, including contact lists, call logs, and personal media files. They are only permitted one-time access to the camera, microphone, or location solely for KYC onboarding, subject to explicit, audit-trailed borrower consent.

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